

LECTURE NO 7 & 8

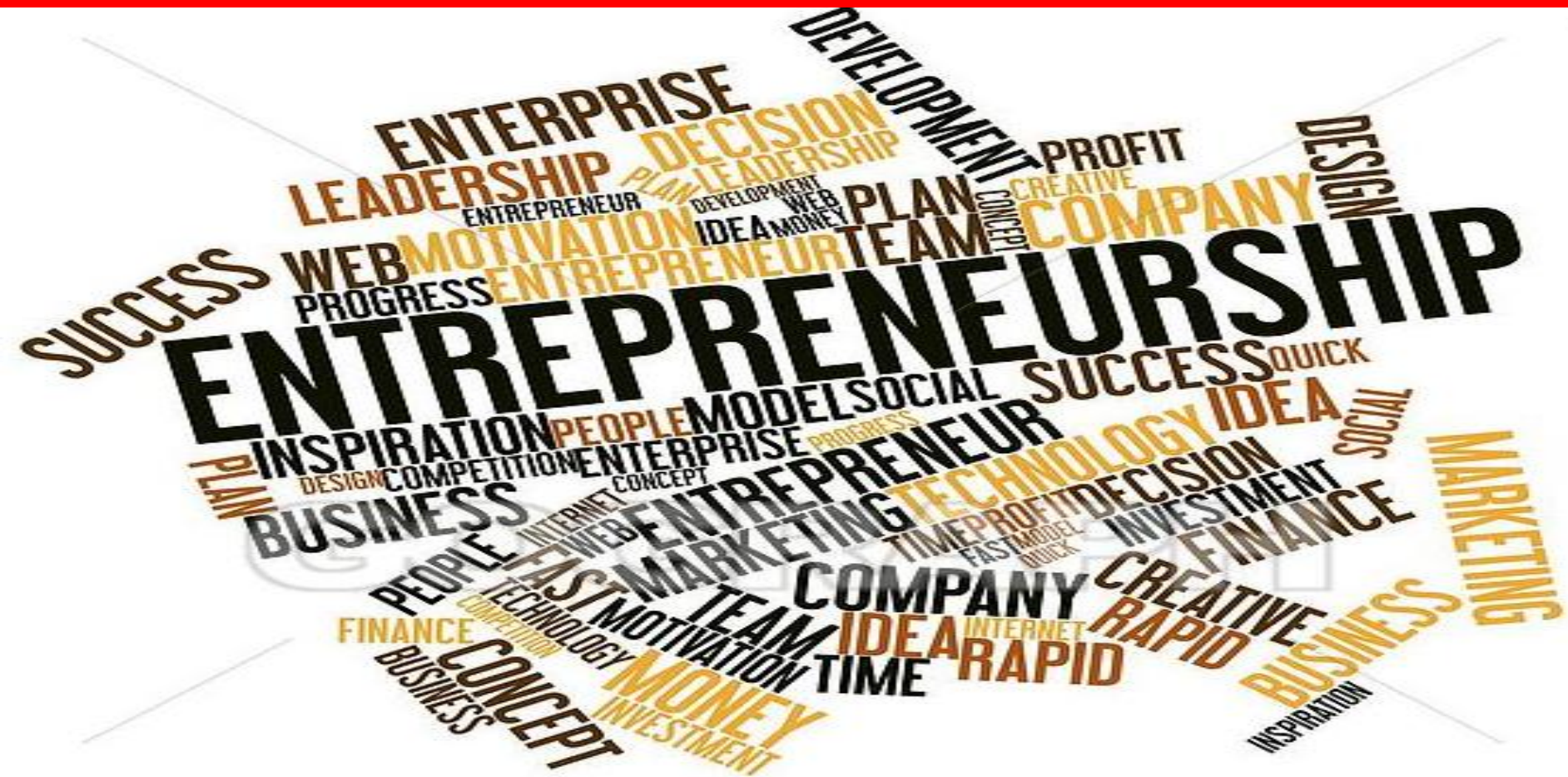
HS-403: Management and Entrepreneurship

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Introduction to Entrepreneurship



Lecture 7: Introduction of an Entrepreneur

Outline of Lecture 7

- Meaning and Concept of an Entrepreneur.
- Characteristics of an Entrepreneur.
- Distinction Between Entrepreneur and Manager.
- Why Should One Become an Entrepreneur.
- Rewards and Penalties for an Entrepreneur.
- Functions of an Entrepreneur.
- Types of an Entrepreneur.
- Concept of an Intrapreneur.

Meaning of an Entrepreneur

ENTREPRENEUR



- An entrepreneur is a person who runs a business, considering the risks and rewards of the venture.
- Entrepreneurs have the skills to anticipate the current and future needs and bring good ideas to the market.
- Entrepreneur is a person who can convert the ideas into concepts and then to a finished product or services.

Concept of an Entrepreneur

1. Entrepreneur as a Risk Bearer

- Entrepreneur is a specialized person who bears uncertainty or risk.
- He made distinction between certainty and risk.
- Risk can be reduced through different principles.

2. Entrepreneur as an Organizer

- An entrepreneur is one who combines land, labor, and capital to produce a single product.
- Functions like Coordination, Organization, and Supervision are associated with him.

3. Entrepreneur as an Innovator

- He is a person who searches new products, new raw materials, new markets and adopts new changes and improvements in the new ventures.

Characteristics of an Entrepreneur

Core Competencies	Entrepreneurial Activities
1. Initiative	Does things before asked for or forced to by events and acts to extend the business to new areas, products or services.
2. Perceiving Opportunities	Identifies business opportunities and mobilizes necessary resources to make good use of an opportunity.
3. Persistence	Takes repeated or different actions to overcome obstacles.
4. Information Gathering	Consults experts for business and technical advice. Seeks information of client or supplier's needs. Personally undertakes market research and make use of personal contacts or information networks to obtain useful information.
5. Concern for Quality Work	States desire to produce or sell a better quality product or service. Compares his performance favorably with that of others.
6. Efficiency Orientation	Finds ways and means to do things faster, better and economically.
7. Problem-Solving	Conceives new ideas and finds innovative solutions.
8. Self-Confidence	Makes decisions on his own and sticks to it in spite of initial setbacks.

Characteristics of an Entrepreneur

Core Competencies	Entrepreneurial Activities
9. Self-Critical	Aware of personal limitations but tries to improve upon by learning from his past mistakes or experiences of others and is never complacent/conceited with success.
10. Persuasion	Persuades customers and financiers to patronize his business.
11. Use of Influence strategies	Develops business contacts, retains influential people as agents and restricts dissemination of information in his possession.
12. Assertiveness	He is confident and not frightened to say what he wants or believes.
13. Monitoring	Develops a reporting system to ensure that work is completed and quality norms.
14. Credibility	Demonstrates honesty in dealing with employees, suppliers and customers even if it means a loss of business.
15. Concern for Employee Welfare	Expresses concern for employees by responding promptly to their grievances.

Characteristics of an Entrepreneur

Core Competencies	Entrepreneurial Activities
16. Impersonal Relationship	Places long-term goodwill over short-term gain in a business relationship.
17. Expansion of Capital Base	Reinvests a greater portion of profits to expand capital of the firm.
18. Building Product Image	Concerned about the image of his products among consumers and does everything possible to establish a niche for his products in the market.
19. Planning	Various inter-related jobs are synchronized according to plan.
20. Experience	Possesses technical expertise in areas of business, finance, marketing, etc.

Distinction Between Entrepreneur and Manager

- Often the two terms namely entrepreneur and manager are considered as synonym. However the two give different meaning.

Points	Entrepreneur	Manager
1. Motive	The main motive of an entrepreneur is to start a venture for his personal gratification/satisfaction.	Main motive of a manager is to deliver services in an enterprise already set by someone else.
2. Status	Owner	Employee
3. Risk	Assumes risk and uncertainty.	Manager doesn't bear any risk involved in enterprise.
4. Rewards	Profits are highly uncertain and not fixed.	Salary which is certain and fixed.
5. Innovation	Entrepreneur himself thinks over what and how to produce goods to meet the changing needs of the customers. Hence he acts as innovator / change agent.	A manager simply executes plans prepared by the entrepreneur.
6. Qualification	An entrepreneur needs to possess qualities and qualifications like high achievement motive, originality in thinking, foresight, risk bearing ability etc.	A manager needs to possess distinct qualifications in terms of sound knowledge in management theory and practice.

Why Should One Become an Entrepreneur?



Why Should One Become an Entrepreneur?

1. ***Freedom*** – You will work hard, and at the beginning, you will spend your time making a rigorous effort to ensure your company works. However, you will reach a point in which you will be able to manage your schedule and enjoy your free time.
2. ***Networking*** – Entrepreneurs are people who love to learn from others experiences, share stories and to be surrounded by creative people. That is why this would be the perfect environment for you.
3. ***Challenge Yourself*** – As an entrepreneur, you will notice that you are going to push yourself all the time to overcome new challenges. Learning new skills like Social Media, Market Analysis.
4. ***You will be an Expert*** – It does not matter what you do. You will become a highly qualified professional, so it will be easier for you to share your message to the world. In addition, you can also help others to make their dreams come true, turning yourself into their mentor.

Why Should One Become an Entrepreneur?

5. **Determination** – No one is going to tell you what to do or when your deadlines are. So as the time goes by, you will discover that you will be more accurate in your personal life.
6. **Autonomy** – For some people, the productivity is about doing your job when you want and when you feel. This is one of the best parts of running your own brand because you can organize the day and modify it without any problem.
7. **Financial Independence** – This is probably one of the biggest reasons why people start their own companies.
8. **Accomplishment** – A sense of accomplishment makes people happy. You know what I am talking about, you will feel happy and proud of your success.

Rewards and Penalties for an Entrepreneur

Rewards

- Freedom to work.
- Satisfaction of being own boss.
- Power to do things as one likes.
- Rewards of ownership and retirement assurance.
- Respect of family and friends.

Penalties

- Constraints of financiers, laborers, customers, suppliers, and debtors reduce/shorten his freedom.
- Frustration due to availability of limited capital and other resources.
- Social and family life is affected due to hard long hours of working.
- Frustration due to non-achievement of full objectives.
- Risk of failure.

Functions of an Entrepreneur

1. Idea Generation: The first and the most important function of an Entrepreneur is idea generation. Idea generation implies product selection and project identification. Idea generation is possible through vision, insight, keen observation, education, experience and exposure. This needs scanning of business environment and market survey.



2. Determination of Business Objectives:

Entrepreneur has to state and lay down the business objectives. Objectives should be spelt out in clear terms. The Entrepreneur must be clear about the nature and type of business so that he can very well carry on the venture in accordance with the objectives determined by him.

Functions of an Entrepreneur

3. *Rising of Funds:* All the activities of the business depend upon the finance and hence fund rising is an important function of an Entrepreneur. An Entrepreneur can raise the fund from internal source as well as external source.



4. Procurement of Machines and Materials:

Another important function of an Entrepreneur is to procure raw materials and machines. Entrepreneur has to identify cheap and regular sources of raw materials which will help him to reduce the cost of production and face competition boldly.

5. Market Research: It is the systematic collection of data regarding the product which the Entrepreneur wants to manufacture. Entrepreneur has to undertake market research persistently to know the details of the intending product, i.e. the demand for the product, size of the market/customers, the supply of the product, competition, the price of the product etc.



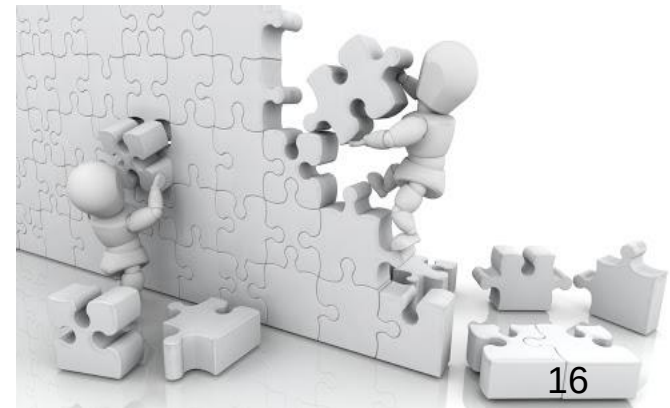
Functions of an Entrepreneur

6. **Determining Form of Enterprise:** Entrepreneur has to determine form of enterprise depending upon the nature of the product, volume of investment etc. The forms of ownership are sole proprietorship, partnership, joint stock etc.



7. **Recruitment of Manpower:** Estimating manpower requirement for short-term and long-term. Laying down the selection procedure. Designing scheme of compensation. Laying down the service rules for the employees and designing mechanism for training and development.

8. **Implementation of the Project:** Entrepreneur has to develop schedule and action plan for the implementation of the project. The project must be implemented in a time bound manner. All the activities from the conception stage to the ending stage are to be accomplished in accordance with the implementation schedule to avoid cost and time overrun.



Types of an Entrepreneur

- Arthur H Cole classifies entrepreneurs as empirical, rational and cognitive entrepreneur.
 - 1. Empirical:** He is entrepreneur hardly introduces anything revolutionary and follows the principle of rule of thumb.
 - 2. Rational:** The rational entrepreneur is well informed about the general economic conditions and introduces changes, which look more revolutionary.
 - 3. Cognitive:** Cognitive entrepreneur is well informed, draws upon the advice and services of experts and introduces changes that reflect complete break from the existing scheme of enterprise.

Concept of an Intrapreneur

- A new breed of entrepreneurs is coming to the fore in large industrial organizations. They are called as 'Intrapreneurs'.
- **An intrapreneur is an individual within a larger organization who acts like an entrepreneur but does so from within the confines of the large organization. Intrapreneurs are employees who exhibit entrepreneurial traits and behaviors, driving innovation, and creating value within their existing company.**
- He works inside a company to develop an innovative idea or project that will enhance the company's future. The intrapreneur is generally given autonomy to work on a project that may have a considerable impact on the company.
- Over time, an intrapreneur may turn into an entrepreneur.

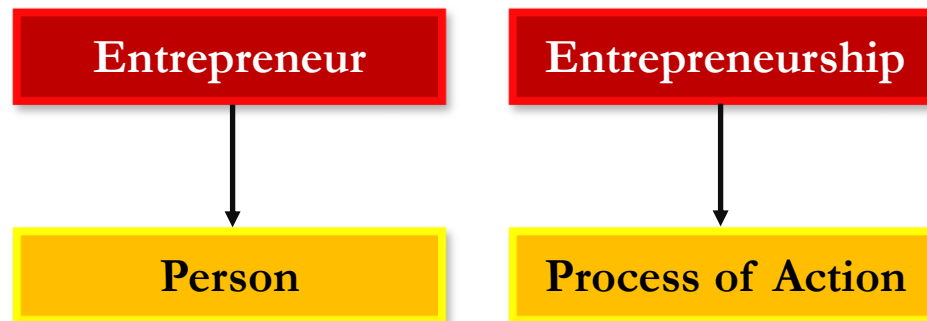
Outline of Lecture 8

- Concept of Entrepreneurship.
- Relationship Between Entrepreneur and Entrepreneurship.
- Roles of Entrepreneurship in Economic Development.
- Stages in Entrepreneurial Process.
- Barriers to Entrepreneurship.
- Entrepreneurship in Pakistan.
- Why CE Degree Could be Worth it for Being a Future Entrepreneur?
- Entrepreneurial Business Opportunities for CE Students.

Concept of Entrepreneurship

“Entrepreneurship is a multifaceted and dynamic concept that involves the identification, creation, and pursuit of opportunities to bring innovative ideas, products, or services to the market. ”

The terms entrepreneur and entrepreneurship are used interchangeable, yet they are conceptually different. The relationship between the two is indicated:



Relationship Between Entrepreneur and Entrepreneurship

Entrepreneur	Entrepreneurship
Person	Process
Organizer	Organization
Innovator	Innovation
Risk-bearer	Risk-bearing
Motivator	Motivation
Creator	Creation
Visualizes	Vision
Leader	Leading
Imitator	Imitation

Roles of Entrepreneurship in Economic Development

- Provides employment opportunities.
- Balanced regional development: Social development like transport facilities, education, health etc. improves.
- Promote export of goods and services which brings huge foreign exchange services.
- Helps to introduce new products and services to the market.
- Reduce the monopoly of few industries in the market.
- Creating innovation.
- Improves the standard of living.
- Improves the technology.
- Introduce welfare services like insurance, healthcare and comfort facilities.

Stages in the Entrepreneurial Process

Entrepreneurship is a process of comprising several distinct stages.

1. The first stage in the entrepreneurial process is some change in the real world.
2. The second stage in the entrepreneurial development is the 'idea'.
3. One may become an entrepreneur in various ways:
 - a. He may start a new enterprise.
 - b. He may acquire a franchise. Franchising is an entrepreneurial system whereby an individual runs a business based on the right to make a product or service granted by a manufacturer or other organization.
 - c. Intrapreneuring is another strategy by extending the firms domain of competence and exploiting new opportunities through new combinations of its existing resources.

Barriers to Entrepreneurship

- A large number of entrepreneurs particularly in the small enterprises fail due to several problems and barriers. The greatest barrier to entrepreneurship is the failure of success.
- According to the research, following are the entrepreneurship barriers:

1. **Lack of viable concept.**
2. **Lack of market knowledge.**
3. **Lack of technical skills.**
4. **Lack of seed capital.**
5. **Lack of business know how.**
6. **Monopoly and protectionism.**

7. **Complacency – Lack of Motivation.**
8. **Social stigma.**
9. **Time presence and distractions.**
10. **Legal constraints and regulations.**
11. **Inhibitions due to patents.**

Entrepreneurship in Pakistan

- Business entrepreneurship is encouraged in technological advance societies, but it is highly discouraged, generally in the developing world and particularly in Pakistan. This kind of skeptical approach discourages the people, particularly the young generation, from becoming “energy stars” who can inspire others.
- In Pakistan, innovation and risk taking is severely inhibited by the intrusive role of government of country.
- Still, we have some people, who contributed significantly as business entrepreneurs in the country in the field of telecommunication business, private shopping malls, emergence of media industry, etc.
- It is also essential to accept the role of the business entrepreneurship in Pakistan and recognize the contribution of those who gave their maximum energy and put their efforts to improve the miserable condition of society.

Entrepreneurship in Pakistan

- The Government of Pakistan should promote social entrepreneurship to uplift the people from poverty, unemployment and miserable conditions. This social entrepreneurship may give a new beginning of life to the young people of the country.

Why Computer Engineering Degree Could be Worth it for being a Future Entrepreneur?

- Obtaining a computer engineering degree can be a valuable investment for individuals aspiring to become future entrepreneurs. Here are some reasons why a computer engineering degree could be worth it for aspiring entrepreneurs:
 - 1. Technical Proficiency:** Computer engineering programs provide a strong foundation in technical skills, including programming, software development, hardware design, and problem-solving. This technical proficiency can be a significant asset when developing or managing technology-based startups.
 - 2. Innovation and Creativity:** Computer engineering programs often emphasize creativity and innovation. Entrepreneurs need to think outside the box and develop unique solutions to problems. The engineering education process can foster these skills.
 - 3. Entrepreneurial Opportunities:** Many successful startups are technology-based, focusing on areas such as software development, artificial intelligence, cybersecurity, and hardware design. A computer engineering background equips you to identify and exploit opportunities in these tech-driven sectors.

Why Computer Engineering Degree Could be Worth it for being a Future Entrepreneur?

4. **Understanding Technology Trends:** Technology is constantly evolving. As a computer engineering graduate, you will be well-versed in emerging technologies, industry trends, and potential disruptive innovations, which can be invaluable when identifying market opportunities.
5. **Prototyping and Product Development:** A computer engineering degree equips you with the skills to design and build prototypes, and these skills are essential for testing and validating business concepts.
6. **Problem-Solving Skills:** Computer engineering programs stress problem-solving and critical thinking. Entrepreneurs encounter numerous challenges, and the ability to analyze complex problems and develop effective solutions is essential.
7. **Networking Opportunities:** University programs provide networking opportunities with professors, fellow students, and industry professionals. These connections can be valuable when seeking mentors, co-founders, investors, or early customers.

Why Computer Engineering Degree Could be Worth it for being a Future Entrepreneur?

8. **Credibility:** A computer engineering degree can provide credibility when seeking funding from investors, partnerships with tech companies, or convincing potential customers of your technical expertise.
9. **Transferable Skills:** Even if you decide not to pursue entrepreneurship immediately, the skills gained from a computer engineering degree are highly transferable and can lead to a variety of career opportunities.

Entrepreneurial Business Opportunities for CE Students

- ☐ Software Development
- ☐ Cybersecurity Consulting
- ☐ Artificial Intelligence (AI) Solutions
- ☐ IoT (Internet of Things) Products
- ☐ Tech Repair and Support
- ☐ Data Analytics and Big Data Services
- ☐ Hardware and Electronics Manufacturing
- ☐ 3D Printing Services
- ☐ Open-Source Software Contributions

References

- ❑ Based in part on materials by *Ms. Samar Masood* (Lecturer, Department of Management Science in HITEC University Taxila Cantt).

APPENDIX

- **Joint Stock Company:** Organizers and entrepreneurs are separate in Joint Stock Company. The share-holders are entrepreneurs, whereas the paid managers are organizers.
- **Partnership:** In partnership, the entrepreneur and organizer is the same person who bears the risk of profit or loss.